# Notification Waiver Determination

## Lactalis – Saputo Dairy UK

| | |
|---|---|
| **Acquisition** | B.S.A. SAS applied for a notification waiver in respect of its proposed acquisition of 100% of the issued share capital of Saputo Dairy UK Ltd, as described in the transaction documents provided as part of the application (the **Acquisition**). |
| **Determination** | The Australian Competition and Consumer Commission has determined under section 51ABV(1)(b) of the *Competition and Consumer Act 2010* (Cth) not to make the notification waiver determination applied for. |
| **Date of determination** | 20 October 2026 |

| | |
|---|---|
| **Parties to the Acquisition** | The acquirer, B.S.A. SAS, together with its subsidiaries, form the Lactalis group (**Lactalis**). Lactalis is a privately held dairy group headquartered in Laval, France. Lactalis is active worldwide in the manufacture and supply of a range of dairy products across six main categories: cheese, drinking milk, chilled dairy products, chilled yellow spreads, cream and dairy ingredients. Lactalis also manufactures or supplies other products, namely drinks, charcuterie, frozen products, confectionery and desserts. In Australia, Lactalis primarily markets dairy products, including drinking milk, flavoured milk, iced coffee beverages, yoghurt, chilled yellow spreads, cream and cheese.<br>The target, Saputo Dairy UK, is a UK dairy business currently wholly owned by Saputo Inc. (**Saputo**), which is a major Canadian dairy company listed on the Toronto Stock Exchange and one of the largest dairy processors in the world. Saputo Dairy UK is a manufacturer of branded cheese and dairy spreads in the UK.<br>In Australia, Saputo Dairy UK is a wholesale supplier of two cheese products to customers in Australia, including (i) a plant-based cheese product; and (ii) Wensleydale cheese (a UK territorial cheese). Saputo Dairy UK does not have manufacturing facilities in Australia. |
| **Explanation for determination** | In making this notification waiver determination, the Australian Competition and Consumer Commission (**ACCC**) has considered the information provided with the notification waiver application and had regard to the factors in section 51ABV(2)(b) of the Act.<br>Based on the information provided in the application the ACCC considers that the Acquisition may raise competition issues given:<br>a. there is horizontal overlap between Lactalis and Saputo Dairy UK in the supply of cheese (including speciality cheeses) to wholesalers in Australia |

| | |
|---|---|
| | b. Lactalis is a major provider of dairy products in Australia, including the wholesale supply of cheese<br>c. the relevant markets are unclear and the extent to which the merged entity is likely to be constrained by alternative suppliers is uncertain<br>d. the extent to which the Acquisition would reduce competition between Lactalis and Saputo in Australia is unclear.<br><br>The ACCC considers that these potential competition issues warrant consideration through the notification process, including via consultation with third parties.<br><br>Given the above, the ACCC has determined not to make the notification waiver determination applied for.<br><br>Given the above, the ACCC does not consider it necessary to reach a concluded view on the likelihood of the Acquisition meeting the notification thresholds. However, the ACCC notes that based on the information provided in the application, the Acquisition may meet the notification threshold in section 2-1 of the *Competition and Consumer (Notification of Acquisitions) Determination 2025*.<br><br>The ACCC considers that the determination is consistent with the object of the Act and the interests of consumers in promoting competition.<br><br>For more information about the ACCC's approach to considering notification waiver applications and to assessing competition effects more generally, see the ACCC's guidance on notification waivers and merger assessment guidelines. |

**Determination made by Commissioner Williams pursuant to a delegation under section 25(1) of the Act**